

MEF Circular No. 18/2026 – Expense reimbursements for employees

Reference: art. 51, paragraph 5, TUIR; Ministerial Decree 28/01/2026; operating instructions of 09/02/2026 **Code:** MEF26-RSD-018 **Version:** 1.2 **Date:** 16/02/2026 **Effective date:** 01/01/2026
Author: Tax Legislation Directorate – Office IV **Notes:** replaces, for tax periods from 2026 onward, Circular No. 41/2024 (2025 caps)

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Main changes to the rules

Update of the daily exemption caps: from 2026 onward, the maximum daily amounts of the allowances and reimbursements that do not count toward employment income are revised, for all categories already covered (domestic trip, foreign trip, meal reimbursement, mileage reimbursement, lodging reimbursement);

Update of the overall monthly plafond: the overall monthly exemption limit for each employee is raised from 1,200.00 euro to 1,400.00 euro;

Introduction of the remote work allowance: from 2026 onward a new reimbursement category is created, named daily remote work (home office) allowance, exempt up to a daily limit of 3.50 euro and for a maximum of 12 days per calendar month;

Progressive reduction for extended foreign trips: for foreign trips whose total duration exceeds 5 days, the daily exemption cap is reduced progressively starting from the sixth day, under the rules of Section 4;

Incompatibility between remote work and trips: the remote work allowance cannot be combined, on the same day and for the same employee, with any trip allowance; a request that breaches this condition is rejected in full;

Transitional regime: expenses incurred up to 31/12/2025 remain subject to the previous caps and calculation rules (Circular No. 41/2024), even if the related reimbursement request is submitted during 2026.

Section 1 – Definitions and scope

For the purposes of this circular:

- **reimbursement request:** the request submitted by the employee to the employer to obtain reimbursement of expenses incurred in carrying out the work activity, referring to a single expense category and a single date incurred (or, for trips, to a continuous period of days);
- **exempt amount:** the part of the requested amount that does not count toward employment income under art. 51, paragraph 5, TUIR;

- **taxable amount:** the part of the requested amount exceeding the exempt amount, which counts toward income and is subject to withholding;
- **date incurred:** the date on which the expense was incurred by the employee; for multi-day trips, the start date of the trip;
- **trip day:** each day, including non-working days, falling within the trip period;
- **monthly plafond:** the overall limit of exempt amount allowable to each employee in a calendar month, determined by summing the exempt amounts of all valid requests with a date incurred in the month.

This circular applies to the reimbursement categories listed in Section 2 and, from 2026 onward, to the category created by Section 3. Requests that do not fall into any of the covered categories are rejected at validation.

The order in which amounts are charged to the monthly plafond follows the chronological order of the date incurred; for the same date, the order in which the requests were submitted.

Section 2 – Updated exemption caps

Effective 01/01/2026, the daily exemption caps are revised as follows. For comparison, the previous values applicable up to 31/12/2025 are also shown.

Category	Cap up to 31/12/2025	Cap from 01/01/2026
Domestic trip	46.48 €/day	50.00 €/day
Foreign trip	77.47 €/day	85.00 €/day
Meal reimbursement	8.00 €/day	10.00 €/day
Mileage reimbursement	0.42 €/km	0.45 €/km
Lodging reimbursement	150.00 €/night	170.00 €/night
Remote work allowance	not provided	3.50 €/day
Overall monthly plafond	1,200.00 €/month	1,400.00 €/month

The exempt amount of each request is determined as follows:

1. the **theoretical cap** of the request is determined:
 - for trips (domestic and foreign): daily cap × number of trip days, subject to the provisions of Section 4 for foreign trips longer than 5 days;
 - for meal reimbursement and the remote work allowance: daily cap × number of days;
 - for mileage reimbursement: cap per kilometer × kilometers traveled;
 - for lodging reimbursement: cap per night × number of nights;
2. the theoretical exempt amount equals the **lesser** of the requested amount and the theoretical cap;
3. the actual exempt amount equals the lesser of the theoretical exempt amount and the **remaining capacity of the employee's monthly plafond** at the date of the request;
4. the taxable amount equals the difference between the requested amount and the actual exempt amount.

Amounts are rounded to the cent (arithmetic rounding).

Checks. If the requested amount is less than or equal to zero, the request is rejected with the reason "non-positive amount". If the indicated category is not among those covered, the request is rejected with the

reason "unrecognized category".

Section 3 – Remote work (home office) allowance

Effective 01/01/2026, the daily remote work allowance is created, intended to reimburse on a flat-rate basis the costs incurred by the employee in carrying out the work activity from their home.

Rules for the category:

- the allowance is exempt up to a limit of **3.50 euro per day** of remote work actually performed;
- the exemption is granted for a maximum of **12 days per calendar month**; days beyond the twelfth give no right to any exempt amount and the amount referring to them is fully taxable;
- the request must indicate the number of remote work days it refers to; for the purpose of computing the monthly limit, all days already reimbursed in the same calendar month under valid requests count;
- the exempt amount counts toward the overall monthly plafond under Section 2.

Determination of the exempt amount:

1. the number of allowed days is determined: the lesser of the requested days and the difference, if positive, between 12 and the remote work days already reimbursed in the month;
2. the theoretical cap equals 3.50 euro × allowed days;
3. points 2, 3 and 4 of Section 2 apply.

Example. An employee has already obtained reimbursement for 8 remote work days in the month. They submit a request for a further 6 days, requested amount 21.00 euro. The allowed days are $\min(6; 12 - 8) = 4$. The theoretical cap is $3.50 \times 4 = 14.00$ euro. The theoretical exempt amount is $\min(21.00; 14.00) = 14.00$ euro; the taxable amount is 7.00 euro, subject to the monthly plafond capacity.

Checks. If the indicated number of days is less than or equal to zero, the request is rejected with the reason "invalid number of days". For incompatibility with trip allowances, see Section 5.

Section 4 – Foreign trips lasting more than 5 days

For foreign trips with a start date from 01/01/2026 and a total duration exceeding 5 days, the daily exemption cap under Section 2 is reduced progressively:

- from the **first to the fifth day**: full cap (85.00 euro);
- from the **sixth to the tenth day**: cap reduced by **10 percent** (76.50 euro);
- from the **eleventh day** onward: cap reduced by **20 percent** (68.00 euro).

The theoretical cap of the trip equals the sum of the daily caps thus determined.

Determination, for a foreign trip of G days:

1. $G_1 = \min(G; 5)$; full portion = $G_1 \times 85.00$;
2. $G_2 = \min(\max(G - 5; 0); 5)$; portion reduced by 10% = $G_2 \times 76.50$;
3. $G_3 = \max(G - 10; 0)$; portion reduced by 20% = $G_3 \times 68.00$;
4. theoretical cap = full portion + portion reduced by 10% + portion reduced by 20%;
5. points 2, 3 and 4 of Section 2 apply.

Example. Foreign trip of 12 days starting 09/03/2026, requested amount 1,100.00 euro. Theoretical cap = $(5 \times 85.00) + (5 \times 76.50) + (2 \times 68.00) = 425.00 + 382.50 + 136.00 = 943.50$ euro. Theoretical exempt amount = $\min(1,100.00; 943.50) = 943.50$ euro; taxable amount = 156.50 euro, subject to the monthly plafond capacity.

The progressive reduction **does not apply** to domestic trips, for which the daily cap stays constant for any duration.

Checks. If the number of trip days is less than or equal to zero, the request is rejected with the reason "invalid number of days".

Section 5 – Validation rules and incompatibility

The previous validation rules remain in force:

- requested amount strictly positive;
- category among those covered;
- date incurred present and not later than the submission date;
- for day-based categories (trips, meal, remote work): number of days strictly positive;
- for mileage reimbursement: number of kilometers strictly positive.

Effective 01/01/2026, the following incompatibility rule is introduced:

Remote work / trip incompatibility. The remote work allowance cannot be combined, for the same employee and on the same day, with any trip allowance (domestic or foreign). Specifically:

- a remote work allowance request is rejected if, for at least one of the days it refers to, a valid trip request of the same employee already exists that covers that day;
- a trip request is rejected if, for at least one of the days of the trip period, a valid remote work allowance request of the same employee already exists referring to that day;
- the request rejected for incompatibility is rejected **in full**, even if the incompatibility concerns a single day; the reason for rejection is "remote work / trip incompatibility";
- only **valid** requests count for the check; rejected requests produce no incompatibility effects.

The incompatibility check is performed when the request is submitted, based on the requests already recorded.

Section 6 – Special cases and worked examples

Case 6.1 – Insufficient monthly plafond. Employee with an exempt amount already granted in the month of 1,350.00 euro. They submit a meal reimbursement request for 5 days, amount 50.00 euro, in 2026. Theoretical cap = $5 \times 10.00 = 50.00$; theoretical exempt amount = 50.00; remaining plafond capacity = $1,400.00 - 1,350.00 = 50.00$; actual exempt amount = 50.00; taxable amount = 0.00. If the exempt amount already granted had been 1,380.00, the actual exempt amount would have been 20.00 and the taxable amount 30.00.

Case 6.2 – Foreign trip across the threshold. Foreign trip of 6 days in 2026, requested amount 500.00 euro. Theoretical cap = $(5 \times 85.00) + (1 \times 76.50) = 501.50$. Exempt amount = $\min(500.00; 501.50) = 500.00$; taxable amount = 0.00.

Case 6.3 – Foreign trip of exactly 5 days. The progressive reduction does not apply: theoretical cap = $5 \times 85.00 = 425.00$.

Case 6.4 – Remote work beyond the monthly limit. Request for 15 remote work days in a month with no previous requests, amount 52.50 euro. Allowed days = $\min(15; 12) = 12$; theoretical cap = 42.00; theoretical exempt amount = $\min(52.50; 42.00) = 42.00$; taxable amount = 10.50.

Case 6.5 – Incompatibility on a single day. Employee with a valid domestic trip from 02/03/2026 to 06/03/2026. They submit a remote work request for the days from 06/03/2026 to 08/03/2026. The day

06/03/2026 falls within the trip period: the remote work request is rejected in full with the reason "remote work / trip incompatibility".

Case 6.6 – 2025 request submitted in 2026. Meal reimbursement for 3 days with date incurred 18/12/2025, submitted on 12/01/2026. The previous caps apply: theoretical cap = $3 \times 8.00 = 24.00$ euro; the reference monthly plafond is the December 2025 one, equal to 1,200.00 euro. The remote work allowance and the incompatibility rule of Section 5 do not apply to 2025 days.

Case 6.7 – Foreign trip started in 2025 and ended in 2026. The date incurred is the start date of the trip: the entire trip is subject to the previous rules (constant cap 77.47 €/day, with no progressive reduction).

Section 7 – Effective date and transitional regime

The provisions of this circular apply to expenses with a **date incurred from 01/01/2026**.

Transitional regime:

- expenses with a date incurred up to **31/12/2025** remain subject to the caps and calculation rules of Circular No. 41/2024 (column "up to 31/12/2025" of the table in Section 2, monthly plafond 1,200.00 euro), **even if the request is submitted in 2026**;
- the "remote work allowance" category is not allowed for days before 01/01/2026: the related requests are rejected with the reason "unrecognized category";
- the incompatibility rule under Section 5 and the progressive reduction under Section 4 apply only to expenses with a date incurred from 01/01/2026;
- the monthly plafond applicable to each request is the one in force at the date incurred (1,200.00 euro for months up to December 2025; 1,400.00 euro for months from January 2026).

Requests already settled at the date this circular is published are not subject to recalculation.